

AQA A-Level Economics (7136) · Paper 2: National and International Economy · Predicted Paper Set C

Time: 2 hours | Total: 80 marks

Section A · Data response (40 marks)

the tight UK labour market

Extract A

Table 1: UK macroeconomic indicators relevant to the tight UK labour market, 2019–2024
Source: Office for National Statistics, 2024

Year	GDP growth (%)	CPI inflation (%)	Unemployment (%)	Bank Rate (%)
2019	1.6	1.8	3.8	0.75
2021	7.6	2.6	4.5	0.10
2022	4.3	9.1	3.7	3.50
2023	0.1	7.3	4.2	5.25
2024	0.6	3.2	4.3	5.00

Extract B

the tight UK labour market: pressures on the UK economy

The Bank of England raised Bank Rate from 0.1% in December 2021 to 5.25% by August 2023 in response to inflation peaking at 11.1% in October 2022. The Resolution Foundation reported that 6.6% pay growth in services contributed to underlying inflation persistence, while CPI inflation fell to 4.0% by December 2023. A spokesperson for the Bank of England warned in 2024 that "the full impact of past rate rises has not yet been felt", citing variable mortgage exposure of around 1.6 million households.

[line 6] The Office for Budget Responsibility estimated that debt-servicing costs had risen to 3.9% of GDP, the highest since the 1980s. Some economists argued that supply-side shocks from the war in Ukraine and the 2021 energy price surge made tight monetary policy necessary; others pointed out that monetary policy operates with long and variable lags.

Source: Resolution Foundation and OBR, 2024

Extract C

Policy responses to wage-driven inflation

Critics of tight monetary policy argue that wage-driven inflation cannot be effectively controlled by interest rates alone, especially when imported through energy and food prices. The Institute for Fiscal Studies has highlighted that around 13.3% of household disposable income is now spent on energy, transport and food. The Bank of England has emphasised the importance of anchoring inflation expectations to prevent a wage-price spiral.

[line 6] The IMF has cautioned that premature loosening could undo progress, while the OECD has highlighted the trade-off between containing inflation and supporting growth. Fiscal policy has remained restrictive, with HM Treasury maintaining tight departmental spending and introducing

fiscal rules requiring debt to fall as a share of GDP within five years. The Office for Budget Responsibility has warned that meeting these rules will require difficult choices.
[line 12]

Source: IMF, OECD and HM Treasury, 2024

Question 01 [2 marks]

Using the data in Extract A, calculate the change in CPI inflation between 2022 and 2024. State clearly whether this is an increase or a decrease.

Question 02 [4 marks]

Explain how the data in Extract A show that UK macroeconomic conditions deteriorated between 2021 and 2023.

Question 03 [9 marks]

Extract B (lines 1–3) states that "the full impact of past rate rises has not yet been felt". With the help of a diagram and using the extracts, analyse how a sustained rise in interest rates is likely to affect UK macroeconomic performance.

[Figure: Figure · AD/AS analysis of wage-driven inflation]

Question 04 [25 marks]

Extract C (lines 1–3) states: "wage-driven inflation cannot be effectively controlled by interest rates alone". Using the data in the extracts and your knowledge of economics, evaluate the view that monetary policy is the most effective tool for managing wage-driven inflation in the UK.

Section B · Essay (40 marks)

You are advised to spend 1 hour on this section. Answer BOTH parts.

In November 2024, the Office for Budget Responsibility published its assessment of the UK economy, highlighting issues around full employment. The Bank of England warned of risks to growth, while the Resolution Foundation estimated that around £1.7bn was at stake annually for affected households. Ministers debated whether monetary, fiscal or supply-side policy offered the best response.

Question 05 [15 marks]

Explain how full employment can affect macroeconomic performance in the UK.

[Figure: Figure · Reference diagram for full employment]

Question 06 [25 marks]

Evaluate the view that supply-side policies are the most effective way to address full employment.